CHAPTER - 30
Internal Reconstruction

Accounting for Alteration of Share Capital

Question 1

On 31-12-20X1, B Ltd. had 20,000, ₹ 10 Equity Shares as authorized capital and the shares were all issued on which ₹ 8 was paid up. In June, 20X2 the company in general meeting decided to sub-divide each share into two shares of ₹ 5 with ₹ 4 paid up. In June, 20X3 the company in general meeting resolved to consolidate 20 shares of ₹ 5, ₹ 4 per share paid up into one share of ₹ 100 each, ₹ 80 paid up.

Pass entries and show how share capital will appear in notes to Balance Sheet as on 31-12-20X1, 31-12-20X2 and 31-12-20X3.

Answer

Journal Entries

Date		Debit (₹)	Credit (₹)
20X2 June	Equity Share Capital (₹ 10) A/c Dr.	1,60,000	
	To Equity Share Capital (₹ 5) A/c		1,60,000
	(Being the sub-division of 20,000 shares of ₹ 10 each with ₹ 8 paid up into 40,000 shares ₹ 5 each with ₹ 4 paid up by resolution in general meeting dated)		
20X3 June	Equity Share Capital (₹ 5) A/c Dr.	1,60,000	
	To Equity Share Capital (₹ 100) A/c		1,60,000
	(Being consolidation of 40,000 shares of ₹ 5 with ₹ 4 paid up into 2,000 ₹ 100 shares with ₹ 80 paid up)		

Notes to Balance Sheet

S. No.	Particulars	₹
	Liabilities	
	As on 31-12-20X1	
1	**Share Capital**	
	Authorized:	
	20,000 Equity Shares of ₹ 10 each	2,00,000
	Issued, Subscribed and Paid up:	
	20,000 Equity Shares of ₹ 10 each ₹ 8 per share paid up	1,60,000
	As on 31-12-20X2	
2	**Share Capital**	
	Authorized:	
	40,000 Equity Shares of ₹ 5 each	2,00,000
	Issued, Subscribed and Paid up:	
	40,000 Equity Shares of ₹ 5 each ₹ 4 per share paid up	1,60,000
	As on 31-12-20X3	
3	**Share Capital**	

	Authorized:	
	2,000 Equity Shares of ₹ 100 each	2,00,000
	Issued, Subscribed and Paid up:	
	2,000 Equity Shares of ₹ 100 each ₹ 80 per share paid up	1,60,000

Question 2

C Ltd. had ₹ 5,00,000 authorized capital on 31-12-20X1 divided into shares of ₹ 100 each out of which 4,000 shares were issued and fully paid up. In June 20X2 the Company decided to convert the issued shares into stock. But in June, 20X3 the Company re-converted the stock into shares of ₹ 10 each, fully paid up.

Pass entries and show how Share Capital will appear in Notes to Balance Sheet as on 31-12-20X1, 31-12-20X2 and 31-12-20X3.

Answer

Journal Entries

Date		Debit (₹)	Credit (₹)
20X2 June	Equity Share Capital (₹ 100) A/c Dr.	4,00,000	
	To Equity Stock A/c		4,00,000
	(Being conversion of 4,000 fully paid Equity Shares of ₹ 100 into ₹ 4,00,000 Equity Stock as per resolution in general meeting dated…)		
20X3 June	Equity Stock A/c Dr.	4,00,000	
	To Equity Share Capital (₹ 10) A/c		4,00,000
	(Being re-conversion of ₹ 4,00,000 Equity Stock into 40,000 shares of ₹ 10 fully paid Equity Shares as per resolution in General Meeting dated...)		

Notes to Balance Sheet

S. No.	Particulars	₹
	Liabilities	
	As on 31-12-20X1	
1	**Share Capital**	
	Authorized:	
	5,000 Equity Shares of ₹ 100 each	5,00,000
	Issued, Subscribed and Paid up:	
	4,000 Equity Shares of ₹ 100 each fully called up	4,00,000
	As on 31-12-20X2	
2	**Share Capital**	
	Authorized:	
	Equity Stock	5,00,000
	Issued, Subscribed and Paid up:	
	Equity Stock- 4,000 Equity Shares of ₹ 100 converted into Stock	4,00,000
	As on 31-12-20X3	
3	**Share Capital**	

	Authorized:	
	50,000 Equity Shares of ₹ 10 each	5,00,000
	Issued, Subscribed and Paid up:	
	40,000 Equity Shares of ₹ 10 each fully called up	4,00,000

Overall Accounting of Internal Reconstruction

Question 3

X Ltd. had ₹ 1,00,000 equity share capital divided into 1,000 shares of ₹ 100 each out of which ₹ 80 per share was called up and paid up. It has 1,500 cumulative preference shares of ₹ 100 each fully paid up. Intangible assets include Goodwill of ₹ 80,000 and patents of ₹ 27,800. Preference dividends are in arrears of ₹ 33,000.

You are required to show the entries (Ignore dates) under each of the following conditions:

(i) If X Ltd. resolves to subdivide the equity shares into 10,000 equity shares of ₹ 10 each of which ₹ 8 per share is called up and paid up.

(ii) If X Ltd. resolves to convert its 1,000 equity shares of ₹ 100 each (assume fully paid) into ₹ 1,00,000 worth of stock.

(iii) The preference shares are to be converted into 11% unsecured debentures of ₹ 100 each (including arrears of dividends).

(iv) Patents and Goodwill to be written-off.

Answer

Journal Entries in the books of X Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100) A/c	Dr.	80,000	
	To Equity Share Capital (₹ 10) A/c			80,000
	(Being sub-division of 1,000 shares of ₹ 100 each with ₹ 80 paid up into 10,000 shares ₹ 10 each with ₹ 8 paid up by resolution in meeting)			
2	Equity Share Capital (₹ 100) A/c	Dr.	1,00,000	
	To Equity Stock A/c			1,00,000
	(Being conversion of 1,000 fully paid Equity Shares of ₹ 100 into ₹ 1,00,000 Equity Stock as per resolution in general meeting dated...)			
3	Cumulative Preference Share Capital A/c	Dr.	1,50,000	
	Capital Reduction (Reconstruction) A/c	Dr.	33,000	
	To 11% Debentures (Unsecured)			1,83,000
	(Being 1,500 preference shares of ₹ 100 each converted into 11% debentures of ₹ 100 each, including arrears of dividends of ₹ 33,000)			
4	Capital Reduction (Reconstruction) A/c	Dr.	1,07,800	
	To Goodwill			80,000
	To Patents			27,800
	(Writing off patents, goodwill)			

Question 4

The following scheme of reconstruction has been approved for Win Limited:

(i) The shareholders to receive in lieu of their present holding at 1,00,000 shares of ₹ 10 each, the following:

(a) New fully paid ₹ 10 Equity shares equal to 3/5th of their holding.

(b) 10% Preference shares fully paid to the extent of 1/5th of the above new equity shares.

(c) ₹ 40,000, 8% Debentures.

(ii) An issue of ₹ 1 lakh 10% first debentures was made and allotted, payment for the same being received in cash forthwith.

(iii) Goodwill which stood at ₹ 1,40,000 was completely written off.

(iv) Plant and machinery which stood at ₹ 2,00,000 was written down to ₹ 1,50,000.

(v) Freehold property which stood at ₹ 1,50,000 was written down by ₹ 50,000.

You are required to draw up the necessary Journal entries in the Books of Win Limited for the above reconstruction. Suitable narrations to Journal entries should form part of your answer.

Answer

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (old) A/c	Dr.	10,00,000	
	To Equity Share Capital (₹ 10) A/c			6,00,000
	To 10% Preference Share Capital A/c			1,20,000
	To 8% Debentures A/c			40,000
	To Capital Reduction A/c			2,40,000
	(Being new equity shares, 10% Preference Shares, 8% Debentures issued and balance transferred to Reconstruction A/c as per Scheme)			
2	Bank A/c	Dr.	1,00,000	
	To 10% First Debentures A/c			1,00,000
	(Being allotment of 10% first Debentures)			
3	Capital Reduction A/c	Dr.	2,40,000	
	To Goodwill Account			1,40,000
	To Plant and Machinery Account			50,000
	To Freehold Property Account			50,000
	(Being Capital Reduction Account utilized for writing off of Goodwill, Plant and Machinery and Freehold property as per the scheme)			

Question 5

The following scheme of reconstruction has been approved for Equity shareholders and Debenture holders of TP Ltd.

(i) The Equity shareholders to receive in lieu of their present holding of 1,50,000 shares of ₹ 10 each, the following:

(1) For ₹ 50,000, equivalent cash

(2) For ₹ 9,00,000, 10% debentures issued at premium of 20% (Face value of debenture is ₹ I00 each)

(3) For balance ₹ 5,50,000, Equity shareholders agreed to accept 50,000 equity shares of ₹ 10 each in full settlement.

(ii) 8% Debenture ₹ 5,00,000.

Debenture holders agreed to accept Freehold property (Book value ₹ 3,50,000) at a valuation of ₹ 4,45,000 in full settlement of their claim.

Pass necessary Journal Entries in the Books of TP Ltd. for the above reconstruction. Narration for Journal entries is not required to be given.

Answer

Journal Entries

		₹	₹
Equity Share Capital (old) A/c	Dr.	15,00,000	
To Equity Share Capital (₹ 10) A/c			5,00,000
To Cash A/c			50,000
To 10% Debentures A/c			7,50,000
To Securities premium			1,50,000
To Capital Reduction/Reconstruction A/c			50,000
(Being new equity shares, 8% Debentures issued, cash of ₹ 50,000 and the balance transferred to Reconstruction account as per the Scheme)			
Freehold Property A/c	Dr.	95,000	
To Capital Reduction/Reconstruction A/c [4,45,000 – 3,50,000]			95,000
(Being the increase in freehold property credited to capital reduction account as per reconstruction scheme)			
8% Debentures A/c	Dr.	5,00,000	
To Freehold Property A/c			4,45,000
To Capital Reduction/Reconstruction A/c			55,000
(Being the debenture holders claim settled partly and foregone partly as per reconstruction scheme)			
Capital Reduction/Reconstruction A/c	Dr.	2,00,000	
To Capital Reserves A/c			2,00,000
(Being balance in capital reduction A/c transferred to Capital Reserves A/c)			

Question 6

Parth Ltd, had laid down the following terms upon the sanction of the reconstruction plan by the court-

1. Furniture and Fixtures which stood at the books at ₹ 1,50,000 to be written down to ₹ 95,000. The freehold premises which was valued at ₹ 7,00,000 showed an appreciation of ₹ 55,000.
2. Plant and machinery showed fall in value of ₹ 89,000, to be recorded in the books. Investment at ₹ 2,00,000 was brought down to the existing market value at ₹ 1,05,000.

3. Debenture holders accepted to receive the following in lieu of their present 9% debentures of ₹ 2,50,000-
   a. 1/5th of the total to be paid in cash to them.
   b. To take over the land and buildings of value ₹ 72,000.
   c. To forgo the remaining unpaid portion as a policy of reconstruction.

Write off the profit and loss A/c debit balance at ₹ 70,000 which had been accumulated over the years. In case of any shortfall, the balance of the General reserve of ₹ 1,50,000 can be utilized to write off the losses under reconstruction scheme.

Show the necessary journal entries as part of the reconstruction process considering that balance in general reserve utilized to write off the losses as per reconstruction scheme.

Answer

Journal entries in the books of Parth Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Reconstruction A/c	Dr.	2,39,000	
	To Furniture and Fixtures, A/c			55,000
	To Plant and machinery, A/c			89,000
	To Investment A/c			95,000
	(Writing off overvalued assets as per Reconstruction Scheme dated.)			
2	Freehold premises A/c	Dr.	55,000	
	To Reconstruction A/c			55,000
	(Being the increase in the premises credited to reconstruction account as per reconstruction scheme)			
3	9% Debentures A/c	Dr.	2,50,000	
	To Bank A/c			50,000
	To Land and building A/c			72,000
	To Reconstruction A/c			1,28,000
	(Being the debenture holders claim settled partly and foregone partly as per reconstruction scheme)			
4	Reconstruction A/c	Dr.	70,000	
	To Profit and loss A/c			70,000
	(Being the loss written off as per reconstruction scheme)			
5	General reserve A/c	Dr.	1,26,000	
	To Reconstruction A/c			1,26,000
	(Being the balance in general reserve utilized to write off the losses as per reconstruction scheme)			

Question 7

The following is the Balance Sheet of X Ltd. as at 31st March, 20X1:

Particulars	Notes	₹
Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	36,00,000
	(b)	Reserves and Surplus	2	(14,40,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	6,00,000
3		**Current liabilities**		
	(a)	Short-term borrowings: Bank overdraft		6,00,000
	(b)	Trade Payables		3,00,000
		Total		**36,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	30,00,000
		ii Intangible Asset	5	90,000
2		**Current assets**		
	(a)	Inventories		2,60,000
	(b)	Trade receivables		2,80,000
	(c)	Cash and Cash equivalents		30,000
		Total		**36,60,000**

Notes to accounts

		₹
1	**Share capital**	
	24,000 Equity Shares of ₹ 100 each	24,00,000
	12,000, 10% Preference Shares of ₹ 100 each	12,00,000
	Total	**36,00,000**
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(14,40,000)
		(14,40,000)
3	**Long-term borrowings**	
	10% debentures	6,00,000
		6,00,000
4.	**Property, plant and Equipment**	
	Land and Building	12,00,000
	Plant and Machinery	18,00,000
		30,00,000
5	**Intangible assets**	
	Goodwill	90,000
		90,000

On the above date, the company adopted the following scheme of reconstruction:

(i) The equity shares are to be reduced to shares of ₹ 40 each fully paid and the preference shares to be

reduced to fully paid shares of ₹ 75 each.

(ii) The debenture holders took over Inventories and Trade receivables in full satisfaction of their claims.

(iii) The Land and Building to be appreciated by 30% and Plant and machinery to be depreciated by 30%.

(iv) The debit balance of profit and loss account and intangible assets are to be eliminated.

(v) Expenses of reconstruction amounted to ₹ 5,000.

Give journal entries incorporating above scheme of reconstruction and prepare reconstructed Balance Sheet.

Answer

Journal Entries in the books of X Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital A/c (₹ 100)	Dr.	24,00,000	
	To Equity Share Capital A/c (₹ 40)			9,60,000
	To Capital Reduction A/c			14,40,000
	(Being 24,000 equity shares of ₹ 100 reduced to ₹ 40 each fully paid up)			
2	10% Preference Share Capital A/c (₹ 100)	Dr.	12,00,000	
	To 10% Preference Share Capital A/c (₹ 75)			9,00,000
	To Capital Reduction A/c			3,00,000
	(Being 12,000 Preference shares of ₹ 100 each reduced to ₹ 75 each fully paid up)			
3	10% Debentures A/c	Dr.	6,00,000	
	To Inventories A/c			2,60,000
	To Trade receivables A/c			2,80,000
	To Capital Reduction A/c			60,000
	(Being debenture holders given Inventories and Trade receivables in full settlement of their claims)			
4	Land & Building A/c	Dr.	3,60,000	
	To Capital Reduction A/c			3,60,000
	(Being Land & Building appreciated by 30%)			
5	Capital reduction A/c	Dr.	5,000	
	To Cash A/c			5,000
	(Being expenses of reconstruction paid)			
6	Capital Reduction A/c	Dr.	20,70,000	
	To Goodwill A/c			90,000
	To Profit and Loss A/c			14,40,000
	To Plant & Machinery A/c			5,40,000
	(Being various losses written off, assets written down through Capital Reserve A/c)			
7	Capital Reduction	Dr.	85,000	
	To Capital Reserve A/c (Bal. Fig.)			85,000
	(Being balance in capital reduction A/c transferred to capital reserve A/c)			

Balance Sheet (And reduced) of X Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	18,60,000
	(b)	Reserves and Surplus	2	85,000
2		**Current liabilities**		
	(a)	Short-term borrowings: Bank overdraft		6,00,000
	(b)	Trade Payables		3,00,000
		Total		**28,45,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	28,20,000
2		**Current assets**		
	(a)	Cash and Cash equivalents (30,000 – 5,000)		25,000
		Total		**28,45,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	24,000 equity shares of ₹ 40 each fully paid up	9,60,000
	12,000, 10% Preference shares of ₹ 75 each fully paid up	9,00,000
		18,60,000
2.	**Reserves and Surplus**	
	Capital Reserve	**85,000**
3.	**Property, plant and Equipment**	
	Land and Building	15,60,000
	Plant and Machinery	12,60,000
		28,20,000

Question 8

The Balance Sheet of A & Co. Ltd. as at 31-3-20X2 is as follows:

		Particulars	Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	A	Share capital	1	11,50,000
	B	Reserves and Surplus	2	(5,35,000)
2		**Non-current liabilities**		
	A	Long-term borrowings	3	3,75,000

3		**Current liabilities**		
	A	Trade Payables		3,00,000
	B	Short term borrowings - Bank Overdraft		1,95,000
	C	Other current liabilities	4	1,22,500
		Total		**16,07,500**
		Assets		
1		**Non-current assets**		
	A	Property, plant and equipment	5	4,75,000
	B	Intangible assets	6	1,67,500
	C	Non-current investments	7	55,000
2		**Current assets**		
	A	Inventories		4,25,000
	B	Trade receivables		4,85,000
		Total		**16,07,500**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital:	
	75,000 Equity Shares of ₹ 10 each	7,50,000
	Preference share capital:	
	4,000 6% Cumulative Preference Shares of ₹ 100 each	4,00,000
		11,50,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(5,35,000)
		(5,35,000)
3	**Long-term borrowings**	
	Secured:	
	6% Debentures (secured on the freehold property)	3,75,000
		3,75,000
4	**Other current liabilities**	
	Loan from directors	1,00,000
	Interest payable on 6% debentures	22,500
		1,22,500
5	**Property plant and Equipment**	
	Freehold property	4,25,000
	Plant	50,000
		4,75,000
6	**Intangible assets**	
	Goodwill	1,30,000
	Patents	37,500

		1,67,500
7	**Non-current investments**	
	Investments at cost	55,000
		55,000

The Court approved a Scheme of re-organization to take effect on 1-4-20X2, whereby:

(i) The Preference shares to be written down to ₹ 75 each and Equity Shares to ₹ 2 each.

(ii) Of the Preference Share dividends which are in arrears for four years, three fourths to be waived and Equity Shares of ₹ 2 each to be allotted for the remaining quarter.

(iii) Interest payable on debentures to be paid in cash.

(iv) Debenture-holders agreed to take over freehold property, book value ₹ 1,00,000 at a valuation of ₹ 1,20,000 in part repayment of their holdings and to provide additional cash of ₹ 1,30,000 secured by a floating charge on company's assets at an interest rate of 8% p.a.

(v) Patents and Goodwill to be written off.

(vi) Inventory to be written off by ₹ 65,000.

(vii) Amount of ₹ 68,500 to be provided for bad debts.

(viii) Remaining freehold property after giving to debenture holders, to be re- valued at ₹ 3,87,500.

(ix) Investments be sold for ₹ 1,40,000.

(x) Directors to accept settlement of their loans as to 90% thereof by allotment of equity shares of ₹ 2 each and as to 5% in cash, and balance 5% being waived.

(xi) There were capital commitments totaling ₹ 2,50,000. These contracts are to be cancelled on payment of 5% of the contract price as a penalty.

(xii) Ignore taxation and cost of the scheme.

You are requested to show Journal entries reflecting the above transactions (including cash transactions) and prepare the Balance Sheet of the company after completion of the Scheme.

Answer

Journal of A & Co. Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X2	Equity Share Capital A/c (₹ 10)	Dr.	7,50,000	
April 1	To Capital Reduction A/c			6,00,000
	To Equity Share Capital A/c (₹ 2)			1,50,000
	(Reduction of equity shares of ₹ 10 each to shares of ₹ 2 each as per Reconstruction Scheme dated...)			
	6% Cum. Preference Share Capital A/c (₹ 100)	Dr.	4,00,000	
	To Capital Reduction A/c			1,00,000
	To Pref. Share Capital A/c (₹ 75)			3,00,000
	(Reduction of preference shares of ₹ 100 each to shares of ₹ 75 each as per reconstruction scheme)			
	Capital Reduction Account	Dr.	24,000	
	To Equity Share Capital Account			24,000

	(Arrears of preference dividends satisfied by the issue of equity shares, 25% of the amount due, ₹ 96,000)		
	Freehold Property A/c Dr.	82,500	
	To Capital Reduction A/c		82,500
	(Appreciation in the value of property: Book value Revalued Figure ₹ 1,00,000 ₹ 1,20,000 ₹ 3,25,000 ₹ 3,87,500 Total ₹ 4,25,000 ₹ 5,07,500 Profit on revaluation: ₹ 82,500)		
	6% Debentures A/c Dr.	1,20,000	
	To Freehold Property A/c		1,20,000
	(Claims of debenture-holders, in respect of principal discharged by transfer of freehold property vide Scheme of Reconstruction)		
	Interest payable A/c Dr.	22,500	
	To Bank A/c		22,500
	(Debenture interest paid)		
	Bank A/c Dr.	1,30,000	
	To 8% Debentures A/c		1,30,000
	(8% Debentures issued for cash)		
	Bank A/c Dr.	1,40,000	
	To Investment A/c		55,000
	To Capital Reduction A/c		85,000
	(Sale of Investment for ₹ 1,40,000 cost being ₹ 55,000; profit credited to Capital Reduction Account)		
	Directors' Loan A/c Dr.	1,00,000	
	To Equity Share Capital A/c		90,000
	To Bank A/c		5,000
	To Capital Reduction A/c		5,000
	(Directors' loan discharged by issue of equity shares of ₹ 90,000, cash payments of ₹ 5,000 and surrender of ₹ 5,000, vide Scheme)		
	Capital Reduction A/c Dr.	8,48,500	
	To Patents		37,500
	To Goodwill		1,30,000
	To Inventory		65,000
	To Provision for Doubtful Debts		68,500
	To Bank		12,500
	To Profit & Loss Account		5,35,000
	(Writing off patents, goodwill, profit and loss account and reducing the value of stock, making the required provision for doubtful debts and payment for cancellation of capital commitments)		

Note: Penalty charges for cancellation of the contract amounts to ₹ 12,500 (2,50,000 x 5%) being paid in cash.

Balance Sheet of A & Co. Ltd. (And Reduced) as at 1st April, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,64,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	2	3,85,000
3		**Current liabilities**		
	(a)	Trade Payables		3,00,000
		Total		**12,49,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	4,37,500
		ii Intangible assets	4	–
2		**Current assets**		
	(a)	Inventories		3,60,000
	(b)	Trade receivables	5	4,16,500
	(c)	Cash and Cash equivalents		35,000
		Total		**12,49,000**

Notes to accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	1,32,000 Equity shares of ₹ 2 each		2,64,000
	(57,000 shares issued for consideration other than cash)		
	Preference share capital		
	4,000 6% Preference shares of ₹ 75 each		3,00,000
			5,64,000
2	**Long-term borrowings**		
	Secured:		
	6% Debentures		2,55,000
	8% Debentures		1,30,000
			3,85,000
3	**Property, plant and equipment**		
	Freehold property	4,25,000	
	Add: Appreciation under scheme of Reconstruction	82,500	
	Less: Disposed of	(1,20,000)	3,87,500
	Plant		50,000
			4,37,500

4	**Intangible assets**		
	Goodwill	1,30,000	
	Less: Written off under scheme of Reconstruction	(1,30,000)	NIL
	Patents	37,500	
	Less: Written off under scheme of Reconstruction	(37,500)	NIL
			NIL
5	**Trade Receivables**		4,85,000
	Less: Provision for doubtful debts		68,500
			4,16,500

Question 9

The following information of Rocky Ltd. as at March 31, 20X1:

	₹ in lacs
Fully paid equity shares of ₹ 10 each	500
Capital Reserve	6
12% Debentures	400
Debenture Interest Outstanding	48
Trade payables	165
Directors' Remuneration Outstanding	10
Other Outstanding Expenses	11
Provisions	33
Assets	
Goodwill	15
Land and Building	184
Plant and Machinery	286
Furniture and Fixtures	41
Inventory	142
Trade receivables	80
Cash at Bank	27
Discount on Issue of Debentures	8
Profits and Loss Account	390

The following scheme of internal reconstruction was framed, approved by the Tribunal all the concerned parties and implemented:

(i) All the equity shares be converted into the same number of fully-paid equity shares of ₹ 2.50 each.

(ii) Directors agree to forego their outstanding remuneration.

(iii) The debenture holders also agree to forego outstanding interest in return of their 12% debentures being converted into 13% debentures.

(iv) The existing shareholders agree to subscribe for cash, fully paid equity shares of ₹ 2.50 each for ₹ 125 lacs.

(v) Trade payables are given the option of either to accept fully-paid equity shares of ₹ 2.50 each for the amount due to them or to accept 80% of the amount due in cash. Trade payables for ₹ 65 lacs accept equity shares whereas those for ₹ 100 lacs accept ₹ 80 lacs in cash in full settlement.

(vi) The Assets are revalued as under:

	₹ in lacs
Land and building	230
Plant and Machinery	220
Inventory	120
Trade receivables	76

Pass Journal Entries for all the above mentioned transactions immediately after the reconstruction.

Answer

Journal Entries **₹ in lacs**

Particulars		Debit	Credit
Equity Share Capital (₹ 10 each) A/c	Dr.	500	
To Equity Share Capital (₹ 2.50 each) A/c			125
To Reconstruction A/c			375
(Conversion of all the equity shares into the same number of fully paid equity shares of ₹ 2.50 each as per scheme of reconstruction)			
Director's Remuneration Outstanding A/c	Dr.	10	
To Reconstruction A/c			10
(Outstanding remuneration foregone by directors as per scheme of reconstruction)			
12% Debentures A/c	Dr.	400	
Debenture Interest Outstanding A/c	Dr.	48	
To 13% Debentures A/c			400
To Reconstruction A/c			48
(Conversion of 12% debentures into 13% debentures, Debenture holders forgoing outstanding debenture interest)			
Bank A/c	Dr.	125	
To Equity Share Application A/c			125
(Application money received for fully paid equity shares of ₹ 2.5 each from existing shareholders)			
Equity Share Application A/c	Dr.	125	
To Equity Share Capital (₹ 2.50 each) A/c			125
(Application money transferred to share capital)			
Trade payables A/c	Dr.	165	
To Equity Share Capital (₹ 2.50 each) A/c			65
To Bank A/c			80
To Reconstruction A/c			20
(Trade payables for ₹ 65 lakhs accepting shares for full amount and those for ₹ 100 lakhs accepting cash equal to 80% of claim in full settlement)			

Capital Reserve A/c	Dr.	6	
To Reconstruction A/c			6
(Being the loss on reconstruction (balance in the Reconstruction A/c) transferred to Capital Reserve)			
Land and Building A/c	Dr.	46	
To Reconstruction A/c			46
(Appreciation made in value of land and building as per scheme of reconstruction)			
Reconstruction A/c	Dr.	505	
To Goodwill A/c			15
To Plant and Machinery A/c			66
To Inventory A/c			22
To Trade receivables A/c			4
To Discount on issue of Debentures A/c			8
To Profit and Loss A/c			390
(Writing off losses and reduction in values of assets as per scheme of reconstruction)			

Note: In a scheme of Reconstruction, Goodwill, Losses etc should be written off against the Reconstruction Account whether or not it is mentioned in the question.

Question 10

The following is the Balance Sheet of Purple Limited as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	15,00,000
	(b)	Reserves and Surplus	2	(3,00,000)
2		**Current liabilities**		
	(a)	Short-term borrowings - Bank Overdraft		2,00,000
	(b)	Trade Payables		2,20,000
		Total		**16,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	10,20,000
		ii Intangible Asset	4	1,20,600
2		**Current assets**		
	(a)	Inventories		1,70,000
	(b)	Trade receivables		3,01,800
	(c)	Cash and Cash equivalents		7,600
		Total		**16,20,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	90,000 Equity Shares of ₹ 10 each fully paid	9,00,000	
	6% Preference Share Capital	6,00,000	**15,00,000**
2	**Reserves & Surplus**		
	Profit & Loss account		**(3,00,000)**
3	**Property, Plant and Equipment**		
	Land and Building	5,40,000	
	Plant and Machinery	4,80,000	**10,20,000**
4	**Intangible Assets**		
	Goodwill	84,600	
	Patents	36,000	**1,20,600**

Dividends on preference shares are in arrears for 3 years.

On the above date, the company adopted the following scheme of reconstruction:

(i) The preference shares are converted from 6% to 8% but revalued in a manner in which the total return on them remains unaffected.

(ii) The value of equity shares is brought down to ₹ 8 per share.

(iii) The arrears of dividend on preference shares are cancelled.

(iv) The debit balance of Goodwill account is written off entirely.

(v) Land & Building and Plant & Machinery are revalued at 85% and 80% of their respective book values.

(vi) Book debts amounting to ₹ 14,400 are to be treated as bad and hence to be written off.

(vii) The company expects to earn a profit at the rate of ₹ 90,000 per annum from the current year which would be utilized entirely for reducing the debit balance of Profit and loss accounts for 3 years. The remaining balance of the said account would be written off at the time of capital reduction process.

(viii) The balance of total capital reduction is to be utilized in writing down Patents.

(ix) A secured loan of ₹ 4,80,000 bearing interest at 12% per annum is to be obtained by mortgaging tangible fixed assets for repayment of bank overdraft and for providing additional funds for working capital.

You are required to give journal entries incorporating the above scheme of reconstruction, capital reduction account and prepare the reconstructed Balance Sheet.

Answer

Journal Entries In the books of Purple Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	6% Preference share capital A/c	Dr.	6,00,000	
	To 8% Preference share capital A/c			4,50,000
	To Capital reduction A/c			1,50,000
	(Being 6% preference shares converted to 8% preference shares so that return to pref. shareholders remains unaffected)			

2	Equity share capital A/c (₹ 10)	Dr.	9,00,000	
	To Equity share capital A/c (₹ 8)			7,20,000
	To Capital reduction A/c			1,80,000
	(Being equity capital reduced to nominal value of ₹ 8 each)			
3	Capital Reduction A/c	Dr.	3,30,000	
	To Goodwill A/c			84,600
	To Land and Building A/c			81,000
	To Plant and Machinery, A/c			96,000
	To Trade Receivables A/c (Book debts)			14,400
	To Patents A/c (Bal. fig.)			24,000
	To Profit and loss A/c			30,000
	(Being losses and assets written off to the extent required)			
4	Bank A/c	Dr.	4,80,000	
	To Bank Loan A/c			4,80,000
	(Being Loan taken)			
5	Bank overdraft A/c	Dr.	2,00,000	
	To Bank A/c			2,00,000
	(Being Bank overdraft repaid)			

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Goodwill A/c	84,600	By Equity Share Capital A/c	1,80,000
To Land & Building A/c	81,000	By 6% Preference Sh. Capital A/c	1,50,000
To Plant and Machinery, A/c	96,000		
To Trade receivables (Book Debts) A/c	14,400		
To Profit & Loss A/c	30,000		
To Patents A/c (Bal. fig.)	24,000		
	3,30,000		**3,30,000**

Balance Sheet of Purple Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	11,70,000
	(b)	Reserves and Surplus	2	(2,70,000)
2		**Current liabilities**		
	(a)	Short-term borrowings - Bank Overdraft		4,80,000
	(b)	Trade Payables		2,20,000
		Total		**16,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		

		i Property, plant and Equipment	3	8,43,000
		ii Intangible Asset	4	12,000
2		**Current assets**		
	(a)	Inventories		1,70,000
	(b)	Trade receivables	5	2,87,400
	(c)	Cash and Cash equivalents		2,87,600
		Total		**16,00,000**

Notes to Accounts:

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Authorized		
	Issued, subscribed and paid up:		
	90,000 equity shares of ₹ 8 each fully paid	7,20,000	
	8% Preference share capital*	4,50,000	**11,70,000**
2.	**Reserves and Surplus**		
	Profit and Loss Account (Dr. balance)		**(2,70,000)**
3.	**Property plant and equipment**		
	Land and Building	4,59,000	
	Plant and Machinery	3,84,000	**8,43,000**
4.	**Intangible assets**		
	Patent ₹ (36,000 – 24,000)		**12,000**
5.	**Trade Receivables**		
	Sundry Debtors	3,01,800	
	Less: Bad debts	(14,400)	**2,87,400**

Note: *Face value of preference share is not given in the question (pre and post reconstruction) and hence any suitable value of preference share may be assumed.

Working Notes:

1. Calculation of new Preference Shares

Rate of return	:	6% on Preference Shares
Dividend	:	(6/100) x ₹ 6,00,000 = ₹ 36,000
Rate of return	:	8% on Preference Shares
Dividend	:	(8/100) x X = ₹ 36,000
	:	X = (36,000/8) x 100 = ₹ 4,50,000
New Preference Share Capital	=	₹ 4,50,000
Old Preference Share Capital	=	₹ 6,00,000
(6,00,000 – 4,50,000)	=	₹ 1,50,000 Amount taken to Capital Reduction A/c.

2. Since the company expects to earn a profit of ₹ 90,000 p.a. consecutively for three years and it shall be used to write-off debit balance of P&L account, hence ₹ 2,70,000 being loss shall be shown in the Balance Sheet under Reserve & Surplus head and ₹ 30,000 shall be written-off from Capital Reduction A/c.

3. Calculation of Amount written off on Land & Building and Plant & Machinery

Land & Building	=	(85/100) x 5,40,000 = ₹ 4,59,000
Plant & Machinery	=	(80/100) x 4,80,000 = ₹ 3,84,000
Reduced by:		
Land & Building	=	(5,40,000 – 4,59,000) = ₹ 81,000
Plant & Machinery	=	(4,80,000 – 3,84,000) = ₹ 96,000

Question 11

Given below is the Balance sheet of Rebuilt Ltd. as at 31.3.20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	13,50,000
	(b)	Reserves and Surplus	2	(4,51,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	5,73,000
3		**Current liabilities**		
	(b)	Trade Payables		2,07,000
	(c)	Other Current Liabilities		35,000
		Total		**17,14,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	6,68,000
		ii Intangible asset	5	3,18,000
2		**Current assets**		
	(a)	Inventories		4,00,000
	(b)	Trade receivables		3,28,000
		Total		**17,14,000**

Notes to accounts

		₹
1	**Share Capital**	
	15,000 Equity Shares of ₹ 50 each	7,50,000
	12,000, 7% Cumulative Preference Shares of ₹ 50 each	6,00,000
	(Preference dividend is in arrears for five years)	
		13,50,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(4,51,000)

		(4,51,000)
3	**Long-term borrowings**	
	Loan	5,73,000
		5,73,000
4	**Property, plant and Equipment**	
	Building at cost less depreciation	4,00,000
	Plant at cost less depreciation	2,68,000
		6,68,000
5	**Intangible assets**	
	Trademarks and Goodwill at cost	3,18,000
		3,18,000

The Company is not earning profits, short of working capital and a scheme of reconstruction has been approved by both the classes of shareholders. A summary of the scheme is as follows:

(a) The equity shareholders have agreed that their ₹ 50 shares should be reduced to ₹ 2.50 by cancellation of ₹ 47.50 per share. They have also agreed to subscribe for three new equity shares of ₹ 2.50 each for each equity share held.

(b) The preference shareholders have agreed to cancel the arrears of dividends and to accept for each ₹ 50 share, 4 new 5% preference shares of ₹ 10 each, plus 6 new equity shares of ₹ 2.50 each, all credited as fully paid.

(c) Lenders to company for ₹ 1,50,000 have agreed to convert their loan into share and for this purpose they will be allotted 12,000 new preference shares of ₹ 10 each and 12,000 new equity shares of ₹ 2.50 each.

(d) The directors have agreed to subscribe in cash for 40,000, new equity shares of ₹ 2.50 each in addition to any shares to be subscribed by them under (a) above.

(e) Of the cash received by issue of new shares, ₹ 2,00,000 is to be used to reduce the loan due by company.

(f) The equity share capital cancelled is to be applied:

i. to write off the debit balance in the profit and loss A/c; and

ii. to write off ₹ 35,000 from the value of plant.

Any balance remaining is to be used to write down the value of trademarks and goodwill.

Show by journal entries how the financial books are affected by the scheme and prepare the balance sheet of the company after reconstruction. The nominal capital as reduced is to be increased to ₹ 6,50,000 for preference share capital and ₹ 7,50,000 for equity share capital.

Answer

In the books of Rebuilt Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity shares capital A/c (₹ 50)	Dr.	7,50,000	
	To Equity share capital A/c (₹ 2.50)			37,500
	To Capital reduction A/c			7,12,500
	(Being equity capital reduced to nominal value of ₹ 2.50 each)			

2	Bank A/c Dr.	1,12,500	
	To Equity share capital		1,12,500
	(Being 3 right shares against each share was issued and subscribed)		
3	7% Preference share capital A/c (₹ 50) Dr.	6,00,000	
	Capital reduction A/c Dr.	60,000	
	To 5% Preference share capital (₹ 10)		4,80,000
	To equity share capital (₹ 2.5)		1,80,000
	(Being 7% preference shares of ₹ 50 each converted to 5% preference shares of ₹ 10 each and also given to them 6 equity shares for every share held)		
4	Loan A/c Dr.	1,50,000	
	To 5% Preference share capital A/c		1,20,000
	To Equity share capital A/c		30,000
	(Being loan to the extent of ₹ 1,50,000 converted into share capital)		
5	Bank A/c Dr.	1,00,000	
	To Equity share application money A/c		1,00,000
	(Being shares subscribed by the directors)		
6	Equity shares application money A/c Dr.	1,00,000	
	To Equity share capital A/c		1,00,000
	(Being application money transferred to capital A/c)		
7	Loan A/c Dr.	2,00,000	
	To Bank A/c		2,00,000
	(Being loan repaid)		
8	Capital reduction A/c Dr.	6,52,500	
	To Profit and loss A/c		4,51,000
	To Plant A/c		35,000
	To Trademarks and Goodwill, A/c (Bal. fig.)		1,66,500
	(Being losses and assets written off to the extent required)		

Balance sheet of Rebuilt Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	10,60,000
2		**Non-current liabilities**		
	(a)	Long term borrowings		2,23,000
3		**Current liabilities**		
	(a)	Trade Payables		2,07,000
	(b)	Other current liabilities		35,000
		Total		**15,25,000**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	2	6,33,000
		ii Intangible assets	3	1,51,500
2		**Current assets**		
	(a)	Inventories		4,00,000
	(b)	Trade receivables	4	3,28,000
	(c)	Cash and Cash equivalents		12,500
		Total		**15,25,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Authorized capital:	
	65,000 Preference shares of ₹ 10 each	6,50,000
	3,00,000 Equity shares of ₹ 2.50 each	7,50,000
		14,00,000
	Issued, subscribed and paid up:	
	1,84,000 equity shares of ₹ 2.5 each	4,60,000
	60,000, 5% Preference shares of ₹ 10 each	6,00,000
		10,60,000
2.	**Property plant and equipment**	
	Building at cost less depreciation	4,00,000
	Plant at cost less depreciation	2,33,000
		6,33,000
3.	**Intangible assets**	
	Trademarks and goodwill	**1,51,500**
4.	**Cash and cash equivalents**	
	Bank (1,12,500+1,00,000-2,00,000)	**12,500**

Question 12

Vaibhav Ltd. gives the following ledger balances as at 31st March 20X1:

	₹
Property, Plant and Equipment	2,50,00,000
Investments (Market value ₹ 19,00,000)	20,00,000
Current Assets	2,00,00,000
P&L A/c (Dr. balance)	12,00,000
Share Capital: Equity Shares of ₹ 100 each	2,00,00,000
6%, Cumulative Preference Shares of ₹ 100 each	1,00,00,000
5% Debentures of ₹ 100 each	80,00,000

Creditors	1,00,00,000
Provision for taxation	2,00,000

The following scheme of Internal Reconstruction is sanctioned:

(i) All the existing equity shares are reduced to ₹ 40 each.

(ii) All preference shares are reduced to ₹ 60 each.

(iii) The rate of Interest on Debentures increased to 6%. The Debenture holders surrender their existing debentures of ₹ 100 each and exchange the same for fresh debentures of ₹ 70 each for every debenture held by them.

(iv) Property, Plant and Equipment is to be written down by 20%.

(v) Current assets are to be revalued at ₹ 90,00,000.

(vi) Investments are to be brought to their market value.

(vii) One of the creditors of the company to whom the company owes ₹ 40,00,000 decides to forgo 40% of his claim. The creditor is allotted with 60000 equity shares of ₹ 40 each in full and final settlement of his claim.

(viii) The taxation liability is to be settled at ₹ 3,00,000.

(ix) It is decided to write off the debit balance of Profit & Loss A/c.

Pass journal entries and show the Balance Sheet of the company after giving effect to the above.

Answer

Journal Entries in the books of Vaibhav Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital (₹ 100) A/c	Dr.	2,00,00,000	
	To Equity Share Capital (₹ 40) A/c			80,00,000
	To Capital Reduction A/c			1,20,00,000
	(Being conversion of equity share capital of ₹ 100 each into ₹40 each as per reconstruction scheme)			
2	6% Cumulative Preference Share Capital (₹ 100) A/c	Dr.	1,00,00,000	
	To 6% Cumulative Preference Share Capital (₹ 60) A/c			60,00,000
	To Capital Reduction A/c			40,00,000
	(Being conversion of 6% cumulative preference shares capital of ₹ 100 each into ₹ 60 each as per reconstruction scheme)			
3	5% Debentures (₹ 100) A/c	Dr.	80,00,000	
	To 6% Debentures (₹ 70) A/c			56,00,000
	To Capital Reduction A/c			24,00,000
	(Being 6% debentures of ₹ 70 each issued to existing 5% debenture holders. The balance transferred to capital reduction account as per reconstruction scheme)			
4	Sundry Creditors A/c	Dr.	40,00,000	
	To Equity Share Capital (₹ 40) A/c			24,00,000
	To Capital Reduction A/c			16,00,000

	(Being a creditor of ₹ 40,00,000 agreed to surrender his claim by 40% and was allotted 60,000 equity shares of ₹ 40 each in full settlement of his dues as per reconstruction scheme)			
5	Provision for Taxation A/c	Dr.	2,00,000	
	Capital Reduction A/c	Dr.	1,00,000	
	To Liability for Taxation A/c			3,00,000
	(Being conversion of the provision for taxation into liability for taxation for settlement of the amount due)			
6	Liability for Taxation A/c .	Dr.	3,00,000	
	To Current Assets (Bank A/c)			3,00,000
	(Being the payment of tax liability)			
7	Capital Reduction A/c.	Dr.	199,00,000	
	To P&L A/c			12,00,000
	To Property, Plant and Equipment A/c			50,00,000
	To Current Assets A/c			110,00,000
	To Investments A/c			1,00,000
	To Capital Reserve A/c (Bal. fig.)			26,00,000
	(Being amount of Capital Reduction utilized in writing off P&L A/c (Dr.) Balance, PPE, Current Assets, Investments and the Balance transferred to Capital Reserve)			

Balance Sheet of Vaibhav Ltd. (and reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	164,00,000
	(b)	Reserves and Surplus	2	26,00,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	56,00,000
3		**Current liabilities**		
	(a)	Trade Payables (1,00,00,000 less 40,00,000)		60,00,000
		Total		**3,06,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	2,00,00,000
	(b)	Non-current investment	5	19,00,000
2		**Current assets**	6	87,00,000
		Total		**3,06,00,000**

Notes to accounts

S. No.	Particulars	₹

1.	**Share Capital**	
	2,60,000 equity shares of ₹ 40 each	1,04,00,000
	(60,000 shares issued for consideration other than cash)	
	1,00,000 6% Cumulative Preference shares of ₹ 60 each	60,00,000
		1,64,00,000
2.	**Reserves and Surplus**	
	Capital Reserve	**26,00,000**
3.	**Long-term borrowings**	
	Secured	
	6% Debentures	**56,00,000**
4.	**Property, Plant and Equipment**	
	Carrying value	2,50,00,000
	Adjustment under scheme of reconstruction	(50,00,000)
		2,00,00,000
5.	**Investments**	20,00,000
	Adjustment under scheme of reconstruction	(1,00,000)
		19,00,000
6.	**Current assets**	2,00,00,000
	Adjustment under scheme of reconstruction	(1,10,00,000)
		90,00,000
	Taxation liability paid	(3,00,000)
		87,00,000

Working Note: **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Liability for taxation A/c	1,00,000	By Equity share capital	1,20,00,000
To P&L A/c	12,00,000	By 6% preferences Share capital	40,00,000
To Property, plant and equipment	50,00,000	By 5% Debentures	24,00,000
To Current assets	1,10,00,000	By Sundry creditors	16,00,000
To Investment	1,00,000		
To Capital Reserve (Bal. fig.)	26,00,000		
	2,00,00,000		**2,00,00,000**

Question 13

The following is the Balance Sheet of Weak Ltd. as at 31.3.20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,50,00,000
	(b)	Reserves and Surplus	2	(6,00,000)

2		**Non-current liabilities**		
	(a)	Long term borrowings	3	40,00,000
3		**Current liabilities**		
	(a)	Trade Payables		50,00,000
	(b)	Short term provisions	4	1,00,000
		Total		**2,35,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment		1,25,00,000
	(b)	Non-current investment	5	10,00,000
2		**Current assets**		1,00,00,000
		Total		**2,35,00,000**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital	
	1,00,000 Equity Shares of ₹ 100 each	1,00,00,000
	50,000, 12% Cumulative Preference shares of ₹ 100 each	50,00,000
		1,50,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	**(6,00,000)**
3	**Long-term borrowings**	
	40,000, 10% debentures of ₹100 each	**40,00,000**
4	**Short term provisions**	
	Provision for taxation	**1,00,000**
5	**Non-current investments**	
	Investments (market value of ₹ 9,50,000)	**10,00,000**

The following scheme of reorganization is sanctioned:

(i) All the existing equity shares are reduced to ₹ 40 each.

(ii) All preference shares are reduced to ₹ 60 each.

(iii) The rate of interest on debentures is increased to 12%. The debenture holders surrender their existing debentures of ₹ 100 each and exchange the same for fresh debentures of ₹ 70 each for every debenture held by them.

(iv) One of the creditors of the company to whom the company owes ₹ 20,00,000 decides to forgo 40% of his claim. He is allotted 30,000 equity shares of ₹ 40 each in full satisfaction of his claim.

(v) Property, plant and equipment are to be written down by 30%.

(vi) Current assets are to be revalued at ₹ 45,00,000.

(vii) The taxation liability of the company is settled at ₹ 1,50,000.

(viii) Investments to be brought to their market value.

(ix) It is decided to write off the debit balance of Profit and Loss account.

Pass Journal entries and show the Balance sheet of the company after giving effect to the above.

Answer

Journal Entries in the books of Weak Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital (₹ 100) A/c	Dr.	1,00,00,000	
	To Equity Share Capital (₹ 40) A/c			40,00,000
	To Capital Reduction A/c			60,00,000
	(Being conversion of equity share capital of ₹ 100 each into ₹ 40 each as per reconstruction scheme)			
2	12% Cumulative Preference Share Capital (₹ 100) A/c	Dr.	50,00,000	
	To 12% Cumulative Preference Share Capital (₹ 60) A/c			30,00,000
	To Capital Reduction A/c			20,00,000
	(Being conversion of 12% cumulative preference share capital of ₹ 100 each into ₹ 60 each as per reconstruction scheme)			
3	10% Debentures A/c	Dr.	40,00,000	
	To 12% Debentures A/c			28,00,000
	To Capital Reduction A/c			12,00,000
	(Being 12% debentures issued to 10% debenture-holders for 70% of their claims. The balance transferred to capital reduction account as per reconstruction scheme)			
4	Trade payables A/c	Dr.	20,00,000	
	To Equity Share Capital A/c			12,00,000
	To Capital Reduction A/c			8,00,000
	(Being a creditor of ₹ 20,00,000 agreed to surrender his claim by 40% and was allotted 30,000 equity shares of ₹ 40 each in full settlement of his dues as per reconstruction scheme)			
5	Provision for Taxation A/c	Dr.	1,00,000	
	Capital Reduction A/c	Dr.	50,000	
	To Current Assets (Bank) A/c			1,50,000
	(Being liability for taxation settled)			
6	Capital Reduction A/c	Dr.	99,00,000	
	To P&L A/c			6,00,000
	To Property, plant and equipment A/c			37,50,000
	To Current Assets A/c			55,00,000
	To Investments A/c			50,000
	(Being amount of Capital Reduction utilized in writing off P&L A/c (Dr.) Balance, Property, plant and equipment, Current Assets, Investments through capital reduction account)			

7	Capital Reduction A/c Dr. To Capital Reserve A/c (Being balance in capital reduction account transferred to capital reserve account)	50,000	 50,000

Balance Sheet of Weak Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	82,00,000
	(b)	Reserves and Surplus	2	50,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,00,000
3		**Current liabilities**		
	(a)	Trade Payables		30,00,000
		Total		**1,40,50,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	87,50,000
	(b)	Non-current investment	5	9,50,000
2		**Current assets**	6	43,50,000
		Total		**1,40,50,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Issued, subscribed and paid up	
	1,30,000 equity shares of ₹ 40 each	52,00,000
	50,000 12% Cumulative Preference shares of ₹ 60 each	30,00,000
		82,00,000
2.	**Reserves and Surplus**	
	Capital Reserve	**50,000**
3.	**Long-term borrowings**	
	Secured: 12% Debentures	**28,00,000**
4.	**Property, plant and Equipment**	
	Total PPE	1,25,00,000
	Adjustment under scheme of reconstruction	(37,50,000)
		87,50,000
5.	**Investments**	10,00,000
	Adjustment under scheme of reconstruction	(50,000)
		9,50,000

6.	**Current assets**	45,00,000
	Adjustment under scheme of reconstruction	(1,50,000)
		43,50,000

Working Note:

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Current Asset	50,000	By Equity share capital	60,00,000
To P&L A/c	6,00,000	By 12% preference share capital	20,00,000
To Property, plant and equipment	37,50,000	By 10% Debentures	12,00,000
To Current assets	55,00,000	By Trade payables	8,00,000
To Investment	50,000		
To Capital Reserve (bal. fig.)	50,000		
	1,00,00,000		**1,00,00,000**

Question 14

The shareholders of Lili Ltd. decided on a corporate restructuring exercise necessitated because of economic recession. From the given summarised balance sheet as on 31-3-20X1 and the information supplied, you are required to prepare

(i) Journal entries reflecting the scheme of reconstruction

(ii) Capital reduction account

(iii) Cash account in the books of Lili Ltd.

Summarised Balance Sheet of Lili Ltd. as on 31.3.20X1

Liabilities		₹	Assets		₹
30,000 Equity shares of ₹ 10 each		3,00,000	Trademarks and Patents		1,10,000
40,000 8% Preference shares ₹ 10 each		4,00,000	Goodwill at cost		36,100
Securities Premium Account		10,000	Freehold Land		1,20,000
Profit and Loss Account		(1,38,400)	Freehold Premises		2,44,000
9% Debentures (₹ 100)	1,20,000		Plant and Equipment		3,20,000
Accrued Interest	5,400	1,25,400	Investment (marked to market)		64,000
Trade payables		1,20,000	Inventories:		
Tax payable		50,000	RM and packing materials	60,000	
Temporary bank overdraft		2,23,100	Finished goods	16,000	76,000
			Trade receivables		1,20,000
		10,90,100			**10,90,100**

Note: Preference dividends are in arrears for 4 years.

The scheme of reconstruction that received the permission of the Court was on the following lines:

(1) The authorized capital of the Company to be re-fixed at ₹ 10 lakhs (preference capital of ₹ 3 lakhs and equity capital of ₹ 7 lakhs). Both classes of shares are of ₹ 10 each.

(2) The preference shares are to be reduced to ₹ 5 each and equity shares reduced by ₹ 3 per share. Post reduction, both classes of shares to be re-consolidated into ₹ 10 shares.

(3) Trade Investments are to be liquidated in open market.

(4) One fresh equity share of ₹ 10 to be issued for every ₹ 40 of preference dividends in arrears (ignore taxation).

(5) Expenses for the scheme were ₹ 10,000.

(6) The debenture holders took over freehold land at ₹ 2,10,000 and settled the balance after adjusting their dues.

(7) Unprovided contingent liabilities were settled at ₹ 54,000 and a pending insurance claim receivable settled at ₹ 12,500.

(8) The intangible assets were all to be written off along with ₹ 10,000 worth obsolete packing material and 10% of the receivables.

(9) Remaining cash available as a result of the above transactions is to be utilized to pay off the bank overdraft to that extent.

(10) The Equity shareholders agree that they will bring in necessary cash to liquidate the balance outstanding on the overdraft account by subscribing the fresh shares. The equity shares will be issued at par for this purpose.

Answer

(i) **In the books of Lili Ltd.**

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital A/c (₹ 10)	Dr.	3,00,000	
	To Capital Reduction A/c			90,000
	To Equity Share Capital A/c (₹ 7)			2,10,000
	(Being reduction of equity shares of ₹ 10 each to shares of ₹ 7 each as per Reconstruction Scheme dated...)			
2	8% Cum. Preference Share Capital A/c (₹ 10)	Dr.	4,00,000	
	To Capital Reduction A/c			2,00,000
	To Preference Share Capital A/c (₹ 5)			2,00,000
	(Being reduction of preference shares of ₹ 10 each to shares of ₹ 5 each as per reconstruction scheme)			
3	Equity Share Capital A/c (30,000 x ₹ 7)	Dr.	2,10,000	
	Preference Share Capital A/c (40,000 x ₹ 5)	Dr.	2,00,000	
	To Equity Share Capital A/c (21,000 x ₹ 10)			2,10,000
	To Preference Share Capital A/c (20,000x₹10)			2,00,000
	(Being post reduction, both classes of shares reconsolidated into ₹ 10 each)			
4	Cash Account	Dr.	64,000	
	To Trade Investments			64,000
	(Being trade investments liquidated in the open market)			

5	Capital Reduction Account Dr.	32,000	
	To Equity Share Capital Account		32,000
	(Being arrears of preference dividends of 4 years satisfied by the issue of 3,200 equity shares of ₹ 10 each)		
6	Capital Reduction Account Dr.	10,000	
	To Cash Account		10,000
	(Being expenses of reconstruction scheme paid in cash)		
7	9% Debentures Account Dr.	1,20,000	
	Accrued Interest Account Dr.		5,400
	To Debenture holders Account		1,25,400
	(Being amount due to debenture holders)		
8	Debenture holders Account Dr.	1,25,400	
	Cash Account (2,10,000 – 1,25,400) Dr.	84,600	
	To Freehold Land		1,20,000
	To Capital Reduction Account (2,10,000 – 1,20,000)		90,000
	(Being Debenture holders took over freehold land at ₹ 2,10,000 and settled the balance)		
9	Capital Reduction Account Dr.	54,000	
	To Cash Account		54,000
	(Being contingent liability of ₹ 54,000 paid)		
10	Cash Account Dr.	12,500	
	To Capital Reduction Account		12,500
	(Being pending insurance claim received)		
11	Capital Reduction Account Dr.	3,06,500	
	To Profit & Loss		1,38,400
	To Trademarks and Patents		1,10,000
	To Goodwill		36,100
	To Raw materials & Packing materials		10,000
	To Trade receivables		12,000
	(Being intangible assets written off along with raw materials and packing materials worth ₹ 10,000 and 10% of trade receivables)		
12	Cash Account Dr.	1,26,000	
	To Equity Share Capital Account		1,26,000
	(Being 12,600 shares issued to existing shareholders)		
13	Bank Overdraft Account Dr.	2,23,100	
	To Cash Account		2,23,100
	(Being cash balance utilized to pay off bank overdraft)		
14	Securities Premium Account Dr.	10,000	
	To Capital Reduction Account		10,000
	(Being amount transferred from securities premium to capital reduction account)		

(ii) **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Equity share capital	32,000	By Preference share capital	2,00,000
To Cash (contingent liability settled)	54,000	By Equity share capital	90,000
To Trademarks and Patents	1,10,000	By Freehold land	90,000
To Goodwill	36,100	By Cash (insurance claim)	12,500
To Raw material and Packing materials	10,000	By Securities premium	10,000
To Trade receivables	12,000		
To Cash account	10,000		
To Profit & Loss	1,38,400		
	4,02,500		**4,02,500**

(iii) **Cash Account**

Particulars	Amount	Particulars		Amount
To Investment	64,000	By Capital reduction (Cont. liability)		54,000
To 9% Debenture holders	84,600	By Expenses		10,000
(2,10,000 – 1,25,400)		By Temporary bank overdraft		2,23,100
To Capital reduction (insurance claim)	12,500	From available cash	97,100	
To Equity share capital (12,600 shares @ ₹ 10 each)	1,26,000	(64,000 + 84,600 + 12,500 – 54,000 – 10,000)		
		From proceeds of equity (2,23,100 – 97,100)	1,26,000	
	2,87,100			**2,87,100**

Note: Shares issued to existing equity shareholders for bringing cash for payment of balance of bank overdraft = ₹ 2,23,100 – ₹ 97,100 = ₹ 1,26,000

Question 15

Following is the Balance Sheet of ABC Ltd. as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	26,00,000
	(b)	Reserves and Surplus	2	(4,05,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	12,00,000
3		**Current liabilities**		
	(b)	Trade Payables		5,92,000
	(c)	Short term borrowings - Bank overdraft		1,50,000
		Total		**41,37,000**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	11,50,000
		ii Intangible asset	5	70,000
	(b)	Non-current investment	6	68,000
2		**Current assets**		
	(a)	Inventories		14,00,000
	(b)	Trade receivables		14,39,000
	(c)	Cash and cash equivalents		10,000
		Total		**41,37,000**

Notes to accounts:

		₹
1	**Share Capital**	
	Equity share capital:	
	2,00,000 Equity Shares of ₹ 10 each	20,00,000
	6,000, 8% Preference shares of ₹ 100 each	6,00,000
		26,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss A/c	(4,05,000)
		(4,05,000)
3	**Long-term borrowings**	
	9% debentures	12,00,000
		12,00,000
4	**Property, Plant and Equipment**	
	Plant and machinery	9,00,000
	Furniture and fixtures	2,50,000
		11,50,000
5	**Intangible assets**	
	Patents and copyrights	70,000
		70,000
6	**Non-current investments**	
	Investments (market value of ₹ 55,000)	68,000
		68,000

The following scheme of reconstruction was finalized:

(i) Preference shareholders would give up 30% of their capital in exchange for allotment of 11% Debentures to them.

(ii) Debenture holders having charge on plant and machinery would accept plant and machinery in full settlement of their dues.

(iii) Inventory equal to ₹ 5,00,000 in book value will be taken over by trade payables in full settlement of their dues.

(iv) Investment value to be reduced to market price.

(v) The company would issue 11% Debentures for ₹ 3,00,000 and augment its working capital requirement after settlement of bank overdraft.

Pass necessary Journal Entries in the books of the company. Prepare Capital Reduction account and Balance Sheet of the company after internal reconstruction.

Answer

Journal Entries in the Books of ABC Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	8% Preference share capital A/c	Dr.	6,00,000	
	To 11% Debentures A/c			4,20,000
	To Capital reduction A/c			1,80,000
	[Being 30% reduction in liability of preference share capital and issue of 11% debentures]			
2	9% Debentures A/c	Dr.	12,00,000	
	To Plant & machinery A/c			9,00,000
	To Capital reduction A/c			3,00,000
	[Settlement of debenture holders by allotment of plant & machinery]			
3	Trade payables A/c	Dr.	5,92,000	
	To Inventory A/c			5,00,000
	To Capital reduction A/c			92,000
	[Being settlement of creditors by giving Inventories]			
4	Bank A/c	Dr.	3,00,000	
	To 11% Debentures A/c			3,00,000
	[Being fresh issue of debentures]			
5	Bank overdraft A/c	Dr.	1,50,000	
	To Bank A/c			1,50,000
	[Being settlement of bank overdraft]			
6	Capital reduction A/c	Dr.	5,72,000	
	To Investment A/c			13,000
	To Profit and loss A/c			4,05,000
	To Capital reserve A/c			1,54,000
	[Being decrease in investment and profit and loss account (Dr. bal.); and balance of capital reduction account transferred to capital reserve]			

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Investments A/c	13,000	By Preference share capital A/c	1,80,000
To Profit and loss A/c	4,05,000	By 9% Debenture holder's A/c	3,00,000
To Capital reserve A/c	1,54,000	By Trade payables A/c	92,000
	5,72,000		**5,72,000**

Balance Sheet of ABC Ltd. (And reduced) as at 31st March 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20,00,000
	(b)	Reserves and Surplus	2	1,54,000
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	7,20,000
3		**Current liabilities**		28,74,000
		Total		**20,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	2,50,000
		ii Intangible asset	5	70,000
	(b)	Non-current investment	6	55,000
2		**Current assets**		
	(a)	Inventories (₹ 14,00,000 – ₹ 5,00,000)		9,00,000
	(b)	Trade receivables		14,39,000
	(c)	Cash and cash equivalents [Cash at Bank (W. N.)]		1,60,000
		Total		**28,74,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	2,00,000 Equity shares of ₹ 10 each fully paid-up		**20,00,000**
2	**Reserve and Surplus**		
	Capital Reserve		**1,54,000**
3.	**Long Term Borrowings**		
	11% Debentures (₹ 4,20,000 + ₹ 3,00,000)		**7,20,000**
4.	**Property, Plant and Equipment**		
	Plant & machinery	9,00,000	
	Less: Adjustment on scheme of reconstruction	9,00,000	–
	Furniture & fixtures		2,50,000
			2,50,000
5.	**Intangible assets**		
	Patents & copyrights		**70,000**
6.	**Non-Current Investments**		
	Investments (₹ 68,000 – ₹ 13,000)		**55,000**

Working Note:

Cash at bank = Opening balance + 11% Debentures issued – Bank overdraft paid

= ₹ 10,000 + ₹ 3,00,000 – ₹ 1,50,000 = ₹ 1,60,000

Question 16

Recover Ltd. decided to reorganize its capital structure owing to accumulated losses and adverse market condition. The Balance Sheet of the company as on 31st March 20X1 is as follows

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	3,50,000
	(b)	Reserves and Surplus	2	(70,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	50,000
3		**Current liabilities**		
	(a)	Short-term borrowings - Bank overdraft		90,000
	(b)	Trade Payables		80,000
	(c)	Other Current Liabilities (Interest payable on Debentures)		5,000
		Total		**5,05,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	3,35,000
		ii Intangible Asset	5	50,000
	(b)	Non-current investment	6	40,000
2		**Current assets**		
	(a)	Inventories		30,000
	(b)	Trade receivables		50,000
		Total		**5,05,000**

Notes to accounts:

S. No.	Particulars	₹
1	**Share Capital**	
	20,000 Equity Shares of ₹ 10 each	2,00,000
	15,000 8% Cumulative Preference Shares of ₹ 10 each	1,50,000
	(preference dividend has been in arrears for 4 years)	
		3,50,000
2	**Reserves and surplus**	
	Profit and loss account (debit balance)	(70,000)
		(70,000)

3	**Long-term borrowings**	
	Secured	
	10% Debentures (secured on the freehold property)	50,000
		50,000
4	**Property, Plant and Equipment**	
	Freehold property	1,20,000
	Leasehold property	85,000
	Plant and machinery	1,30,000
		3,35,000
5	**Intangible assets**	
	Goodwill	50,000
		50,000
6	**Non-current investments**	
	Non-Trade investments at cost	40,000
		40,000

Subsequent to approval by court of a scheme for the reduction of capital, the following steps were taken:

i. The preference shares were reduced to ₹ 2.5 per share, and the equity shares to ₹ 1 per share.

ii. One new equity share of ₹ 1 was issued for the arrears of preferred dividend for past 4 years.

iii. The debenture holders took over the freehold property at an agreed figure of ₹ 75,000 and paid the balance to the company after deducting the amount due to them.

iv. Plant and Machinery was written down to ₹ 1,00,000.

v. Non-trade Investments were sold for ₹ 32,000.

vi. Goodwill and obsolete stock (included in the value of inventories) of ₹ 10,000 were written off.

vii. A contingent liability of which no provision had been made was settled at ₹ 7,000 and of this amount, ₹ 6,300 was recovered from the insurance.

You are required to show the Journal Entries, necessary to record the above transactions in the company's books and to prepare the Balance Sheet, after completion of the scheme.

Answer

Journal entries in the books of Recover Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	8% Cumulative Preference share capital (₹ 10) A/c	Dr.	1,50,000	
	To 8% Cumulative Preference share capital (₹ 2.5) A/c			37,500
	To Reconstruction (₹ 7.5) A/c			1,12,500
	(Preference shares being reduced to shares of ₹ 2.5 per share and remaining transferred to reconstruction account as per internal reconstruction scheme)			
2	Equity share capital A/c (₹10)	Dr.	2,00,000	
	To Equity Share Capital A/c (₹ 1)			20,000
	To Reconstruction A/c (₹ 9)			1,80,000

	(Equity shares reduced to ₹ 1 per share with the remaining amount transferred to reconstruction account as a part of the internal reconstruction scheme)		
3	Reconstruction A/c Dr.	48,000	
	To Equity share capital A/c		48,000
	(Equity shares of ₹ 1 issued in lieu of the arrears of preference dividend for 4 years as a part of the internal reconstruction scheme)		
4	10% Debentures A/c Dr.	50,000	
	Interest payable on debentures A/c Dr.	5,000	
	Bank A/c Dr.	20,000	
	Reconstruction A/c Dr.	45,000	
	To Freehold property A/c		1,20,000
	(Debenture holders being paid by the sale of property, which is sold at a loss debited to the reconstruction account. Amount received in excess being refunded to company by debenture holders as a part of the internal reconstruction scheme)		
5	Reconstruction A/c Dr.	90,000	
	To Plant and Machinery Ac		30,000
	To Goodwill A/c		50,000
	To Inventory A/c		10,000
	(The assets written off as a part of the internal reconstruction scheme)		
6	Bank A/c Dr.	32,000	
	Reconstruction A/c Dr.	8,000	
	To Investments A/c		40,000
	(Investments sold at a loss debited to reconstruction account as a part of the internal reconstruction scheme)		
7	Contingent Liability A/c Dr.	7,000	
	To Bank A/c		7,000
	(Contingent liability paid as a part of internal reconstruction scheme)		
8	Bank A/c Dr.	6,300	
	Reconstruction A/c Dr.	700	
	To Contingent Liability A/c		7,000
	(The insurance company remitting part of the contingency payment amount)		
9	Reconstruction A/c Dr.	70,000	
	To Profit and loss A/c		70,000
	(Accumulated losses written off to reconstruction account as a part of the internal reconstruction scheme)		
10	Reconstruction A/c Dr.	30,800	
	To Capital reserve A/c		30,800
	(The balance in reconstruction account transferred to capital reserve as a part of the internal reconstruction scheme)		

Balance sheet of Recover Ltd. as at 31st March 20X1 (and reduced)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,05,500
	(b)	Reserves and Surplus	2	30,800
2		**Non-current liabilities**		
	(a)	Long term borrowings		–
3		**Current liabilities**		
	(a)	Short-term borrowings - Bank overdraft		90,000
	(b)	Trade Payables		80,000
		Total		**3,06,300**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	1,85,000
2		**Current assets**		
	(a)	Inventories		20,000
	(b)	Trade receivables		50,000
	(c)	Cash and cash equivalents	4	51,300
		Total		**3,06,300**

Notes to accounts:

S. No.	Particulars	₹
1	**Share Capital**	
	68,000 Equity Shares of ₹ 1 each	68,000
	15,000 8% Cumulative Preference Shares of ₹ 2.5 each	37,500
		1,05,500
2	**Reserves and surplus**	
	Capital reserve	**30,800**
3	**Property, Plant and Equipment**	
	Leasehold property	85,000
	Plant and machinery	1,00,000
		1,85,000
4	**Cash and cash equivalents**	
	Bank A/c (20,000 + 32,000 – 7000 + 6,300)	**51,300**

Question 17

Green Limited had decided to reconstruct the Balance Sheet since it has accumulated huge losses. The following is the Balance Sheet of the Company as at 31.3.20X1 before reconstruction:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	65,00,000
	(b)	Reserves and Surplus	2	(20,00,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	15,00,000
3		**Current liabilities**		
	(a)	Trade Payables		5,00,000
		Total		**65,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment		45,00,000
		ii Intangible Asset		20,00,000
2		**Current assets**		Nil
		Total		**65,00,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Authorized share capital	
	1,50,000 Equity shares of ₹ 50 each	**75,00,000**
	Issued, subscribed and paid-up capital	
	50,000 Equity Shares of ₹ 50 each	25,00,000
	1,00,000 Equity shares of ₹ 50 each, ₹ 40 paid up	40,00,000
		65,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(20,00,000)
		(20,00,000)
3	**Long-term borrowings**	
	Secured: 12% First debentures	5,00,000
	12% Second debentures	10,00,000
		15,00,000
4	**Property, Plant and Equipment**	
	Building	10,00,000
	Plant	10,00,000
	Computers	25,00,000
		45,00,000
5	**Intangible assets**	

	Goodwill	20,00,000
		20,00,000

The following is the interest of Mr. X and Mr. Y in Green Limited:

	Mr. X (₹)	Mr. Y (₹)
12% First Debentures	3,00,000	2,00,000
12% Second Debentures	7,00,000	3,00,000
Trade payables	2,00,000	1,00,000
	12,00,000	6,00,000
Fully paid up ₹ 50 shares	3,00,000	2,00,000
Partly paid-up shares (₹ 40 paid up)	5,00,000	5,00,000

The following Scheme of Reconstruction is approved by all parties interested and also by the Court:

(a) Uncalled capital is to be called up in full and such shares and the other fully paid up shares be converted into equity shares of ₹ 20 each.

(b) Mr. X is to cancel ₹ 7,00,000 of his total debt (other than share amount) and to pay ₹ 2 lakhs to the company and to receive new 14% First Debentures for the balance amount.

(c) Mr. Y is to cancel ₹ 3,00,000 of his total debt (other than equity shares) and to accept new 14% First Debentures for the balance.

(d) The amount thus rendered available by the scheme shall be utilised in writing off of Goodwill, Profit and Loss A/c Loss and the balance to write off the value of computers.

You are required to draw the Journal Entries to record the same and also show the Balance Sheet of the reconstructed company.

Answer

Journal Entries in books of Green Limited

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Bank Account A/c	Dr.	10,00,000	
	To Equity Share Capital Account			10,00,000
	(Balance of ₹ 10 per share on 1,00,000 equity shares called up as per reconstruction scheme)			
2	Equity Share Capital Account (₹ 50)	Dr.	75,00,000	
	To Equity Share Capital Account (₹ 20)			30,00,000
	To Capital Reduction Account			45,00,000
	(Reduction of equity shares of ₹ 50 each to shares of ₹ 20 each as per reconstruction scheme)			
3	12% First Debentures Account	Dr.	3,00,000	
	12% Second Debentures Account	Dr.	7,00,000	
	Trade payables Account	Dr.	2,00,000	
	To X			12,00,000
	(The total amount due to X, transferred to his account)			
4	Bank Account	Dr.	2,00,000	

	To X			2,00,000
	(The amount paid by X under the reconstruction scheme)			
5	X	Dr.	14,00,000	
	To 14% First Debentures Account			7,00,000
	To Capital Reduction Account			7,00,000
	(The amount due to X discharged by issue of 14% first debentures)			
6	12% First Debentures Account	Dr.	2,00,000	
	12% Second Debentures Account	Dr.	3,00,000	
	Trade payables Account	Dr.	1,00,000	
	To Y			6,00,000
	(The total amount due to Y, transferred to his account)			
7	Y	Dr.	6,00,000	
	To 14% First Debentures Account			3,00,000
	To Capital Reduction Account			3,00,000
	(The amount due to Y discharged by issue of 14% first debentures)			
8	Capital Reduction Account	Dr.	55,00,000	
	To Goodwill Account			20,00,000
	To Profit and Loss Account			20,00,000
	To Computers Account			15,00,000
	(The balance amount of capital reduction account utilised in writing off goodwill, profit and loss account, and computers)			

Balance Sheet of Green Limited (and reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	2	10,00,000
3		**Current liabilities**		
	(a)	Trade Payables		2,00,000
		Total		**42,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	30,00,000
2		**Current assets**		
	(a)	Cash and cash equivalents		12,00,000
		Total		**42,00,000**

Notes to accounts

S. No.	Particulars	₹

1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	1,50,000 equity shares of ₹ 20 each	30,00,000
		30,00,000
2.	**Long-term borrowings**	
	Secured:	
	14% First Debentures	10,00,000
		10,00,000
3.	**Property, Plant and Equipment**	
	Building	10,00,000
	Plant	10,00,000
	Computers	10,00,000
		30,00,000

Working Note: **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Goodwill A/c	20,00,000	By Equity Share Capital A/c	45,00,000
To P&L A/c	20,00,000	By X	7,00,000
To Computers (Bal. Fig.)	15,00,000	By Y	3,00,000
	55,00,000		**55,00,000**

Question 18

Z Limited provides the following information as on 31st March, 20X1

Particulars	₹
Share Capital:	
5,00,000 Equity shares of ₹ 10 each fully paid up	50,00,000
9%, 20,000 Preference shares of ₹ 100 each fully paid up	20,00,000
Reserves and Surplus:	
Profit and Loss Account (Dr. balance)	14,60,000
Non-Current Liabilities:	
10% Secured Debentures	16,00,000
Current Liabilities:	
Interest due on Debentures	1,60,000
Trade Payables	5,00,000
Loan from Directors	1,00,000
Bank Overdraft	1,00,000
Provision for Tax	1,00,000
Non-Current Assets:	
Property, plant and Equipment:	

Land & Buildings	30,00,000
Plant & Machinery	12,50,000
Furniture & Fixtures	2,50,000
Intangible Assets:	
Goodwill	11,00,000
Patents	5,00,000
Current Assets:	
Trade Investments	5,00,000
Trade Receivables	5,00,000
Inventory	10,00,000

Note: Preference dividend is in arrears for last 2 years.

Mr. Y holds 60% of debentures and Mr. Z holds 40% of debentures. Moreover ₹ 1,00,000 and ₹ 60,000 were also payable to Mr. Y and Mr. Z respectively as trade payable.

The following scheme of reconstruction has been agreed upon and duly approved.

(i) All the equity shares to be converted into fully paid equity shares of ₹ 5.00 each.

(ii) The Preference shares be reduced to ₹ 50 each and the preference shareholders agreed to forego their arrears of preference dividends, in consideration of which 9% preference shares are to be converted into 10% preference shares.

(iii) Mr. Y and Mr. Z agreed to cancel 50% each of their respective total debt including interest on debentures. Mr. Y and Mr. Z also agreed to pay ₹ 1,00,000 and ₹ 60,000 respectively in cash and to receive new 12% debentures for the balance amount.

(iv) Persons relating to trade payables, other than Mr. Y and Mr. Z also agreed to forgo their 50% claims.

(v) Directors also waived 60% of their loans and accepted equity shares for the balance.

(vi) Capital commitments of ₹ 3.00 lacs were cancelled on payment of ₹ 15,000 as penalty.

(vii) Directors refunded ₹ 1,00,000 of the fees previously received by them.

(viii) Reconstruction expenses paid ₹ 15,000.

(ix) The taxation liability of the company was settled for ₹ 75,000 and was paid immediately.

(x) The Assets were revalued as under:

Land and Building	32,00,000
Plant and Machinery	6,00,000
Inventory	7,50,000
Trade Receivables	4,00,000
Furniture and Fixtures	1,50,000
Trade Investments	4,50,000

You are required to pass journal entries for all above-mentioned transactions including amounts to be written off for Goodwill, Patents and Loss in Profit and Loss A/c. Also prepare Bank Account and Reconstruction A/c.

Answer

Journal Entries in the Books of Z Ltd.

S. No.	Particulars	Debit (₹)	Credit (₹)

1	Equity Share Capital (₹ 10 each) A/c	Dr.	50,00,000	
	To Equity Share Capital (₹ 5 each) A/c			25,00,000
	To Reconstruction A/c			25,00,000
	(Being conversion of 5,00,000 equity shares of ₹ 10 each fully paid into same number of fully paid equity shares of ₹ 5 each as per scheme of reconstruction.)			
2	9% Preference Share Capital (₹ 100 each) A/c	Dr.	20,00,000	
	To 10% Preference Share Capital (₹ 50 each) A/c			10,00,000
	To Reconstruction A/c			10,00,000
	(Being conversion of 9% preference share of ₹ 100 each into same number of 10% preference share of ₹ 50 each and claims of preference dividends settled as per scheme of reconstruction.)			
3	10% Secured Debentures A/c	Dr.	9,60,000	
	Trade payables A/c	Dr.	1,00,000	
	Interest on Debentures payable A/c	Dr.	96,000	
	Bank A/c	Dr.	1,00,000	
	To 12% Debentures A/c			6,78,000
	To Reconstruction A/c			5,78,000
	(Being ₹ 11,56,000 due to Y (including trade payables) cancelled and 12% debentures allotted for the amount after waving 50% as per scheme of reconstruction.)			
4	10% Secured Debentures A/c	Dr.	6,40,000	
	Trade Payables		60,000	
	Interest on debentures payable A/c		64,000	
	Bank A/c		60,000	
	To 12% debentures A/c			4,42,000
	To Reconstruction A/c			3,82,000
	(Being ₹ 7,64,000 due to Z (including trade payables) cancelled and 12% debentures allotted for the amount after waving 50% as per scheme of reconstruction.)			
5	Trade payables A/c	Dr.	1,70,000	
	To Reconstruction A/c			1,70,000
	(Being remaining trade payables sacrificed 50% of their claim.)			
6	Directors' Loan A/c	Dr.	1,00,000	
	To Equity Share Capital (₹ 5) A/c			40,000
	To Reconstruction A/c			60,000
	(Being Directors' loan claim settled by issuing 8,000 equity shares of ₹ 5 each as per scheme of reconstruction.)			
7	Reconstruction A/c	Dr.	15,000	
	To Bank A/c			15,000
	(Being payment made towards penalty of 5% for cancellation of capital commitments of ₹ 3 Lakhs.)			

8	Bank A/c	Dr.	1,00,000	
	To Reconstruction A/c			1,00,000
	(Being refund of fees by directors credited to reconstruction A/c.)			
9	Reconstruction A/c	Dr.	15,000	
	To Bank A/c			15,000
	(Being payment of reconstruction expenses.)			
10	Provision for Tax A/c	Dr.	1,00,000	
	To Bank A/c			75,000
	To Reconstruction A/c			25,000
	(Being payment of tax liability in full settlement against provision for tax)			
11	Land and Building A/c	Dr.	2,00,000	
	To Reconstruction A/c			2,00,000
	(Being appreciation in value of Land & Building recorded)			
12	Reconstruction A/c	Dr.	49,85,000	
	To Goodwill A/c			11,00,000
	To Patent A/c			5,00,000
	To Profit and Loss A/c			14,60,000
	To Plant and Machinery, A/c			6,50,000
	To Furniture & Fixture A/c			1,00,000
	To Trade Investment A/c			50,000
	To Inventory A/c			2,50,000
	To Trade Receivables A/c			1,00,000
	To Capital Reserve (bal. fig.)			7,75,000
	(Being writing off of losses and reduction in the value of assets as per scheme of reconstruction, balance of reconstruction A/c transfer to Capital Reserve.)			

Bank Account

Particulars	Amount	Particulars	Amount
To Reconstruction (Y)	1,00,000	By Balance b/d (overdraft)	1,00,000
To Reconstruction(Z)	60,000	By Reconstruction A/c	15,000
To Reconstruction A/c	1,00,000	(capital commitment penalty)	
(refund of earlier fees by directors)		By Reconstruction A/c	15,000
		(reconstruction expenses paid)	
		By Provision for tax A/c (tax paid)	75,000
		By Balance c/d	55,000
	2,60,000		**2,60,000**

Reconstruction Account

Particulars	Amount	Particulars	Amount
To Bank (penalty)	15,000	By Equity Share Capital A/c	25,00,000

To Bank (reconstruction expenses)	15,000	By 9% Pref. Share Capital A/c	10,00,000
To Goodwill	11,00,000	By Mr. Y (Settlement)	5,78,000
To Patent	5,00,000	By Mr. Z (Settlement)	3,82,000
To P&L A/c	14,60,000	By Trade Payables A/c	1,70,000
To P&M	6,50,000	By Director's loan	60,000
To Furniture and Fixtures	1,00,000	By Bank	1,00,000
To Trade investment	50,000	By Provision for tax	25,000
To Inventory	2,50,000	By Land and Building	2,00,000
To Trade Receivables	1,00,000		
To Capital Reserve (bal. fig.)	7,75,000		
	50,15,000		**50,15,000**

Question 19

Sustain Limited is incurring losses due to adverse market conditions. It decided to reorganize is capital structure. The summarized Balance Sheet of the company as on 31st March, 20X1 is as follows:

Particulars	Notes	₹
Equity and Liabilities		
1. Shareholders' Fund	1	10,00,000
(a) Share Capital	2	(2,50,000)
(b) Reserves and Surplus		
2. Non-current liabilities		
Long term borrowing	3	4,50,000
3. Current liabilities		
(a) Trade Payables		1,30,000
(b) Short term borrowings - Bank Overdraft		65,000
(c) Other Current Liabilities (Interest payable on Debentures)		45,000
(d) Short term provision (Provision for Income Tax)		1,00,000
Total		**15,40,000**
Assets		
1. Non-current assets		
(a) Property, Plant & Equipment	4	8,50,000
(b) Intangible assets	5	60,000
(c) Non-current investments	6	2,80,000
2. Current assets		
(a) Inventories		1,20,000
(b) Trade receivables		2,30,000
Total		**15,40,000**

Notes to accounts:

	₹

1.	**Share Capital**	
	Equity share capital:	
	50,000 Equity shares of ₹ 10 each fully paid up	5,00,000
	25,000 Equity shares of ₹ 10 each, ₹ 8 paid up	2,00,000
	Preference share capital:	
	30,000 8% Cumulative Preference shares of ₹ 10 each (Preference dividend has been in arrears for 3 years)	3,00,000
		10,00,000
2.	**Reserves and Surplus**	
	Profit and Loss account (debit balance)	**(2,50,000)**
3.	**Long-term borrowings**	
	Secured:	
	10% Debentures of ₹ 100 each	**4,50,000**
4.	**Property, Plant and Equipment**	
	Freehold property	1,00,000
	Plant and machinery	7,50,000
		8,50,000
5.	**Intangible assets**	
	Goodwill	**60,000**
6.	**Non-current investments**	
	Non-trade investments at cost	**2,80,000**

Subsequent to approval by court and all interested parties, the following scheme of reconstruction were agreed:

(1) Uncalled capital is to be called up in full and such shares and other fully paid-up equity shares to be reduced to ₹ 5 per share.

(2) The preference shareholders will accept a reduction of ₹ 2.5 per share, in exchange the rate of dividend is to be increased to 9%.

(3) Preference shareholders will forgo their claim of dividend for one year and one equity share of ₹ 5 each is to be issued for the remaining arrears of dividend.

(4) Mr. X holds 10% debentures for ₹ 2,50,000. He is also a creditor for ₹ 50,000. He agreed to cancel 50% of his total debt, including interest on debentures, pay ₹ 20,000 to the company and to receive new 12% debentures for the balance amount.

(5) The remaining claim of the debenture holders, including outstanding interest to be reduced to 60%. In consideration of the reduction, the debenture holders are to receive new 9% preference shares at new face value.

(6) The taxation liability is to be settled at ₹ 1,20,000.

(7) Market value of Non-current Investments is ₹ 2,50,000. Investments to be brought to their market value.

(8) Inventory equal to ₹ 1,00,000 at book value will be taken over by remaining creditors in full settlement of their claim.

(9) A bad debt provision of 2% is to be created on trade receivables.

(10) Plant and Machinery is to be written down by 20%.

(11) The company will further issue 12% debentures for such amount which is sufficient to pay off bank overdraft and other outstanding liabilities and maintain its cash/bank balance at ₹ 85,000.

(12) The amount available by the scheme shall be utilized in writing of Goodwill, debit balance of profit and loss a/c and balance of inventory.

You are required to:

(a) Show the journal entries, necessary to record the above transaction in the company's books and

(b) Prepare a note to show revised Share capital structure of the company after completion of the scheme.

Answer

(a) Journal Entries in books of Sustain Limited

S. No.	Particulars		Debit	Credit
1.	Bank Account	Dr.	50,000	
	To Equity Share Capital Account			50,000
	(Balance of ₹ 2 per share on 25,000 equity shares called up)			
2.	Equity Share Capital (₹ 10) Account	Dr.	7,50,000	
	To Equity Share Capital (₹ 5) Account			3,75,000
	To Capital Reduction Account			3,75,000
	(Reduction of equity shares of ₹ 10 each to shares of ₹ 5 each as per reconstruction scheme)			
3.	8 % Cumulative Preference Share Capital (₹ 10) A/c	Dr.	3,00,000	
	To 9% Cumulative Preference Share Capital (₹ 7.5) A/c			2,25,000
	To Capital Reduction A/c			75,000
	(Being Preference shares of ₹ 10 each reduced by ₹ 2.5 each per share by changing the rate of dividend from 8% to 9% and the balance transferred to Capital Reduction A/c.)			
4.	Capital Reduction A/c	Dr.	48,000	
	To Preference share dividend payable A/c			48,000
	(Being arrear of Preference share dividend payable for one year)			
5.	Preference share dividend payable A/c	Dr.	48,000	
	To Equity Share Capital (₹ 5) A/c			48,000
	(Being Equity Shares of ₹ 5 each issued against arrears of 2 years Preference Share dividend) (W.N.1)			
6	10% Debentures Account	Dr.	2,50,000	
	Interest on Debentures Outstanding A/c	Dr.	25,000	
	Trade payables Account	Dr.	50,000	
	To Mr. X			3,25,000
	(The total amount due to X, transferred to his account)			
7	Bank Account	Dr.	20,000	
	To Mr. X			20,000
	(The amount paid by X under the reconstruction scheme)			